

The excess return of small-cap value stocks over small-cap growth stocks was greater for each index over the 30-year period. In addition, the risk of small-cap value stocks as measured by their standard deviation was considerably less than that of small-cap growth stocks. The implication of the data is that the value premium is stronger in the small-cap sector of the market than in the large-cap sector.

[Table 6-7](#) compares the value premium across the total stock market as measured by the Russell 3000 indexes and the DFA indexes, which are similar to FF indexes. The Russell 3000 is an index of the 3,000 largest U.S. stocks, adjusted for free float. It is divided into the Russell 3000 Growth Index and the Russell 3000 Value Index using Russell methodology. The DFA Marketwide indexes are composed of all stocks on the Nasdaq and NYSE weighted by market capitalization.

TABLE 6-7

Comparing Total Market Indexes, 1979–2009

	DFA Marketwide	DFA Marketwide Value	Russell 3000	Russell 3000 Value
Annualized return	11.7	14.0	11.4	12.2
Standard deviation	15.7	16.8	15.8	14.9

[Figure 6-5](#) illustrates the rolling 36-month correlation between the Wilshire 5000 Composite and the DFA Marketwide Value Index described earlier. Notice the sharp decrease in correlation between value stocks and the composite index during the late 1990s. That event resulted from the rapid run-up in the valuation of large-cap growth stocks, especially technology stocks, which tended to dominate the Wilshire 5000 Index at the time.

FIGURE 6-5

Total U.S. Market Index and DFA Marketwide Value 36-Month Rolling Correlations